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DIRECTORS

J M Wanjigi Chairman
R A Shepherd
B C Patel
M K R Shah*

*British

AUDIT COMMITTEE

R A Shepherd Chairman
J M Wanjigi
B C Patel
M K R Shah*

SECRETARY

N P Kothari, FCPS (Kenya) FCIS

REGISTERED OFFICE

1st Floor
Empress Plaza
Ring Road Parklands, Westlands
P O Box 764
Nairobi, Sarit Centre, 00606

REGISTER OF MEMBERS AND TRANSFER OFFICE

Specialist Corporate Consultants
1st Floor
Empress Plaza
Ring Road Parklands, Westlands
P O Box 764
Nairobi, Sarit Centre, 00606

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P O Box 40092 – 00100, GPO
Nairobi

BANKERS

Commercial Bank of Africa Limited
Upper Hill Branch
Mara & Ragati Road
P O Box 30437 – 00100, GPO
Nairobi

CfC Stanbic Bank Limited
Upper Hill Medical Centre Branch
Ralph Bunche Road
P O Box 2492 – 00200
Nairobi, City Square

ADVOCATES

Wainaina Ireri & Co.
Advocates
P O Box 42706 – 00100, GPO
Nairobi

JAMES MAINA WANJIGI EGH, MSc, MA - CHAIRMAN

Aged 80, Mr Wanjigi who is a Fulbright Scholar, has been a Board member since 1970. He has held very senior cabinet positions in Government and has been a member of International organizations. He is involved in overseeing his family's businesses as well as being involved in various other business and social welfare activities.

R A (TONY) SHEPHERD

Aged 79, Mr Shepherd joined the Group as Managing Director of Carbacid (CO₂) Limited in 1967. He retired as a Managing Director of Carbacid (CO₂) Limited in 2001 and has continued as a non- executive Director. His vast knowledge and experience of the business gained over the years provides the Board with valuable technical guidance.

BALOO C PATEL

Aged 72, Mr Patel joined the Board in 2002. He is a significant shareholder in the Company and has extensive business interests in Kenya. He is also a Director of Pan African Insurance Holdings Limited. His varied business experience brings a wide range of additional skills to the Board.

MUKESH K R SHAH FCCA, CPA (K), CPS (Kenya)

Aged 57, Mr Shah joined the Board in 2002. He is a member of the Institute of Certified Public Accountants of Kenya, the Institute of Certified Public Secretaries of Kenya and a Fellow of the Association of Chartered and Certified Accountants of the UK. He is a former partner of PriceWaterhouse and a director of a leading consultancy firm that specializes in providing strategic and business advisory services to Family Owned Businesses. Mr Shah is substantially a non-executive Director, but has certain specific responsibilities for financial matters of the Group.

NOTICE IS HEREBY GIVEN that the forty-first Annual General Meeting of the shareholders of Carbacid Investments Limited will be held at the Southern Sun Mayfair (Palm Room), Parklands Road, Nairobi on Thursday, 8th December 2011 at 10.00 a.m., for the following purposes:

- 1 To receive the Directors' Report and audited financial statements for the year ended 31st July 2011.
- 2 To declare a final dividend as recommended by the Directors to shareholders registered on 15th November 2011.
- 3 To approve Directors' fees.
- 4 To elect Directors:
 - (a) Mr R A Shepherd retires by rotation and, being eligible, offers himself for re-election.
 - (b) Mr M K R Shah retires by rotation and, being eligible, offers himself for re-election.
- 5 To authorise the Directors to fix the remuneration of the auditors, Deloitte & Touche.

By Order of the Board

N P KOTHARI
Secretary
Nairobi
21 October 2011

A member entitled to attend and vote at this meeting is entitled to appoint one or more proxies to attend and vote instead of him. A proxy need not be a member of the Company. A detachable proxy form is at the end of the financial statements.

I am pleased to report that the year ended 31 July 2011 is one of the most significant years in the history of the Carbacid Group. In the year, we achieved a major milestone in the successful commissioning of a second supply source situated in the Rift Valley, with an overall investment worth over Shs 300 million. This is particularly important for the Company from the point of view of securing a long term supply of carbon dioxide and effectively minimizes the risk of disruption of supply to customers.

The year has, however, been a difficult trading period for Carbacid after several years of continuous growth. The demand for carbon dioxide from some industry segments declined in this period and that has resulted in lower sales compared to the previous year. This is a pattern that is experienced once in every 5 to 7 years but the management has continued to look for new regional markets and sectors to supply to. I am pleased to report that there have been very positive results.

On the whole, sales turnover decreased by 7% and operating profit by 15%. Net profit after tax at Shs 302 million was however just 1.4% below the previous year due mainly to a favourable tax charge from the new investment. Other major factors that have impacted the results for the year are: higher operating costs due to inflation and currency fluctuations, higher cost of fuel for transport and for generator power, increase in staff costs and a higher depreciation charge.

The Company's carbon dioxide facilities continue to be maintained at the highest standards to ensure high levels of operational efficiency and to provide products of the highest quality in Africa. Carbacid recognizes its critical supplier status to the beverage industry and has continued to invest in plant, fleet and other resources in order to ensure the continuity of high quality supplies. During the year, the Company also earned the coveted ISO 22000:2005 certification.

The Company's investment portfolio registered a small decrease in terms of interest earned. This was anticipated as some of the cash resources were invested in the new mining facility.

In respect of the year ended 31 July 2011, your Board had approved the payment of an interim dividend of Shs 2/- per share and now recommends a final dividend of Shs 3/- per share to be paid in December 2011. The total dividend per share for the full year will, therefore, be Shs 5/- per share, on 33,980,265 shares in issue.

As part of its Corporate Social Responsibility, your Company continues to support initiatives to improve facilities at the Kimende High School and to provide bursaries to qualifying students at the school. The Company has also sponsored other educational and environmental awareness programmes.

Your Board continues to place great emphasis on Corporate Governance and a Statement on Corporate Governance is included in the Annual Report.

Finally, on behalf of the Board of Directors, I would like to extend my appreciation to all our staff for their efforts in a very challenging environment over the past twelve months. I also wish to record my appreciation for the guidance and contribution of my fellow Board members.

Nairobi
21 October 2011

J M Wanjigi
Chairman

Nina furaha kuripoti kwamba mwaka uliomalizika Julai 31, 2011 ni moja kati ya miaka yenye hatua muhimu katika historia ya kundi la Carbacid. Katika mwaka huu, tumeweza kupata hatua kubwa katika kufanikiwa kukamilisha asili ya pili ya ugavi inayopatikana katika bonde la ufa ikiwa kwa jumla na uwekezaji wa zaidi ya shilingi milioni mia tatu. Hii hasa ni muhimu kwa kampuni unapo rai ugavi wa carbon dioxide kwa muda mrefu na inapunguza hatari ya biashara kutokana na kukatizwa ugavi kwa wateja.

Mwaka umekuwa hata hivyo mgumu kwa kipindi cha biashara kwa Carbacid baada ya miaka mingi ya ukuaji wakuendelea. Mahitaji ya gesi ya carbon dioxide katika sehemu fulani za viwanda ilishuka katika kipindi hiki na hii imesababisha mauzo ya chini ukilinganisha na mwaka uliopita. Huu ni mfano unao onekana mara moja baada ya kila miaka tano hadi saba na wasimamizi wa kampuni wamendelea kutafuta soko mpya katika kanda hii na sekta za kufanyia ugavi. Nina furaha kuripoti ya kwamba kumekuwa na matokeo ya kuridhisha.

Kwa jumla, mauzo yamepungua kwa asilimia saba (7) na faida ya utenda kazi kwa asilimia kumi na tano (15). Faida baada ya kodi katika shilingi milioni mia tatu na mbili (302) itakuwa hata hivyo tu asilimia moja nukta nne (1.4) chini ya mwaka uliopita kwa sababu kubwa kutokana na malipo ya kodi kwa uwekezaji mpya. Sababu zingine kubwa ambazo zimechangia matokeo ya mwaka ni : matumizi ya juu ya uendeshaji kazi kutokana na ongezeko katika mfumuko wa bei na kushuka katika fedha za kigeni, gharama ya juu katika bei ya mafuta katika usafirishaji na kawi ya jenereta, ongezeko katika gharama ya wafanyi kazi na ongezeko katika uchakavu wa rasilimali .

Mitambo ya kampuni ya carbon dioxide inaendelea kuhifadhiwa katika viwango vya juu zaidi ili kuhakikisha ngazi za juu za utekelezaji kazi na kutoa bidhaa za hali ya juu zaidi hapa Africa. Carbacid inatambua hali yake ya muhimu kama muuzaji hasa kwa viwanda vya vinywaji na imeendelea kufanya uwekezaji katika mitambo, magari, rasilimali zingine ili kuhakikisha mlimbiko unaoendelea. Katika mwaka, kampuni iliweza kupata cheti kinachotamaniwa cha ISO 22000:2005.

Uwekezaji wa kampuni kwingineko uliandikisha kupungua kidogo katika riba iliyopatikana. Hii ilitarajiwa kwa sababu rasilimali za kifedha zili ekezwa katika kituo kipya cha uchimbaji.

Kuhusiana na mwaka uliomalizika Julai 31, 2011, halmashauri yenu ya wakurugenzi iliidhiinisha mgao wa muda wa shilingi 2/- kwa kila hisa na sasa inapendekeza mgao wa mwisho wa shilingi 3/- kwa kila hisa kulipwa hapo Disemba 2011. Mgao wote kwa jumla kwa kila hisa kwa mwaka mzima utakuwa ni shilingi 5/- kwa kila hisa, kwa hisa 33,980,265 ambazo zimetolewa.

Kama sehemu ya wajibu kwa jamii, Kampuni inaendelea kuchangia katika miradi ya kuimarisha vifaa katika shule ya upili ya Kimende na misaada ya kifedha kwa wanafunzi wanaostahili. Kampuni imefadhili mipango mingine ya kielimu na kuwahamasisha wananchi kuhusu mazingira.

Halmashauri yenu ya wakurugenzi inaendelea kutilia mkazo uongozi bora na taarifa kuhusu uongozi bora imejumlishwa katika ripoti ya mwaka.

Mwisho, kwa niaba ya halmashauri ya wakurugenzi, ningependa kutoa shukrani zangu kwa wafanyi kazi wote kwa juhudi zao katika katika mazingira yenye changamoto katika miezi kumi na miwili iliopita. Ningependa pia kutoa shukrani kwa mwongozo na mchango wa wakurugenzi wenzangu.

Nairobi
Oktoba 21, 2010

J M Wanjigi
Mwenyekiti

The directors present their report together with the audited financial statements for the year ended 31 July 2011.

PRINCIPAL ACTIVITIES

The company is an investment and holding company with three wholly owned subsidiaries. The principal activity of Carbacid (CO₂) Limited is mining and sale of carbon dioxide gas. Goodison Twenty Nine Limited and Goodison Forty Seven Limited are property owning companies.

RESULTS FOR THE YEAR

	Sh'000
Group profit before taxation	374,210
Taxation	(72,015)
Group profit for the year transferred to retained earnings	<u>302,195</u>

DIVIDENDS

An interim dividend of Sh 2.00 per share (2010 - Sh 2.00) on 33,980,265 shares (2010 – 33,980,265 shares) was paid during the year amounting to Sh 67,960,530 (2010 – Sh 67,960,530). The Directors propose a final dividend of Sh 3.00 per share (2010-Sh 3.00) amounting to Sh 101,940,795 (2010 - Sh 101,940,795).

DIRECTORS

The current board of directors is shown on page 2.

AUDITORS

Deloitte & Touche have expressed their willingness to continue in office in accordance with the provision of section 159 (2) of the Kenyan Companies Act (Cap. 486).

By Order of the Board

N P KOTHARI
Secretary
Nairobi
21 October 2011

The Company is committed to the maintaining high standards of Corporate Governance and the disclosures in this year's financial statements are in recognition of this commitment.

The role of the Board

The Board is responsible for the long-term growth and profitability of the Carbacid Group. The Board charts the direction of the Group and monitors management's performance on behalf of the shareholders. A critical role of the Board is to ensure that the Group is pursuing a strategy that increases profitability and shareholders value.

Board meetings

The Board normally meets quarterly each year for scheduled meetings and on other occasions to deal with specific matters that require attention between scheduled meetings. Scheduled meetings include annual strategic reviews, review of quarterly performance and monitoring of business and operational issues. During the year the Board had five meetings, which were well attended by the directors.

Composition of the Board

The composition of the Board is given on Page 2 of this report. There are currently four non-executive Directors, Mr Wanjigi, Mr Patel, Mr Shepherd and Mr Shah. All non- executive Directors are considered by the Board to be independent of management.

One third of the members of the Board retire by rotation each year and may offer themselves for re-election if eligible in accordance with the Company's Articles of Association. Any Director appointed by the Board will be subject to election by shareholders at the first opportunity after his or her appointment and will not be taken into account in determining the Directors who are to retire by rotation at that meeting.

Board Committees

The Board carries out certain of its duties by delegation to Board Committees from time to time. These Committees meet regularly and make recommendations to the Board on issues delegated to them. The Committees operate under Terms of Reference approved by the Board and their duties extend across the Group.

Audit Committee- The Committee assists the Company's Board to discharge its corporate governance responsibilities, including the Group's relationship with, and the independence of, the external auditors; the reliability and appropriateness of the disclosure in the financial statements and external financial communication; and the maintenance of an effective business risk management framework including compliances and internal controls.

Other committees in place are the Strategic Committee, Investment Committee and the Staff Committee which meet as and when necessary.

Business and Financial Planning

A detailed budget for each financial year is presented to the Board for approval at the beginning of that year. Management accounts comparing actual results against budget and previous years and revised forecasts for the remainder of the financial year are produced each month and circulated to the Board. Significant variances from budget are highlighted and explained and, where appropriate, corrective action is indicated.

The Board attaches great importance to maintaining a strong control environment and the system of internal controls includes the assessment of non-financial risks and controls.

The Board has established a management structure, which clearly defines roles, responsibilities and reporting lines. Delegated authorities are documented and communicated.

Communications with shareholders

The Company is committed to:

- Ensuring that shareholders and the financial markets are provided with full and timely information about its performance
- Complying with continuous obligations contained in applicable Listing Rules and the Capital Markets Authority Act applicable in Kenya.

Information is communicated to the shareholders through the distribution of the annual report and press notices following release of the half-yearly results and whenever there are other significant developments to report on.

Corporate Social Responsibility

The Company believes that it has a responsibility to contribute to the improvement of the community where possible. The initiatives supported during the year are highlighted in the Chairman's statement.

Directors' benefits and loans

Since the last Annual General Meeting of the Company to the date of this report, no Director has received or become entitled to receive any benefit other than Directors' fees and amounts received under employment contracts.

The aggregate amount of emoluments for Directors' services rendered in the financial year is disclosed on page 33.

Neither at the end of the financial year nor at any time during the year did there exist any arrangement to which the Group is a party whereby Directors might acquire benefits by means of the acquisition of shares in the Group. There were no Directors' loans at any time during the year.

Directors' interest

The interest of the Directors in the Shares of the Company as at 31 July 2011 were as follows:

Name	No. of Shares
Mr J M Wanjigi	1,167,850
Including shares held by companies in which he has an interest	
Mr R A Shepherd	187,986
Mr B C Patel	3,714,783

Distribution of shareholders as at 31 July 2011

Shareholding (No. of shares)	No. of shares held	No. of shareholders	% shareholding
Less than 500	53,185	275	0.16
500 - 5,000	1,198,296	573	3.53
5,001 - 10,000	1,560,157	221	4.59
10,001 - 100,000	5,211,978	186	15.34
100,001 - 1,000,000	10,482,586	43	30.85
above 1,000,000	15,474,063	5	45.54
Total	33,980,265	1,303	100.00

Major shareholders

The top 10 major shareholders as at 31 July 2011 were as follows:

Name	No. of Shares	% Shareholding
Mrs A Patel	5,097,000	15.00
Mr B C Patel	3,714,783	10.93
Leverton Limited	3,178,854	9.36
Kivuli Limited	1,980,000	5.83
Miss T I Friedman	1,503,426	4.42
Standard Chartered Nominees A/C 9230	803,000	2.36
Cannon Assurance (Kenya) Limited	709,413	2.09
Standard Chartered Nominees Non-Resd A/C 9598	660,000	1.94
Rasimu Limited	547,874	1.61
Mrs B C Kampf	538,284	1.58

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the Group for that year. It also requires the directors to ensure that the company and its subsidiaries keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the Group and the company. They are also responsible for safeguarding the assets of the Group.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgment and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and company and of the Group's operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain going concerns for at least the next twelve months from the date of this statement.

J M WANJIGI
Director
21 October 2011

M K R SHAH
Director

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Certified Public Accountants (Kenya)
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Report on the financial statements

We have audited the accompanying financial statements of Carbacid Investments Limited and its subsidiaries set out on pages 15 to 48 which comprise the consolidated and company statements of financial position as at 31 July 2011 and the consolidated statement of comprehensive income, consolidated and company statements of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company and its subsidiaries as at 31 July 2011 and of the Group's profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- iii) the company's statement of financial position is in agreement with the books of account.

DELOITTE & TOUCHE
Certified Public Accountants (Kenya)
21 October 2011

consolidated
statement of
comprehensive income

FOR THE YEAR ENDED 31 JULY 2011

	Notes	2011 Sh'000	2010 Sh'000
TURNOVER		576,092	620,083
COST OF SALES		(230,406)	(212,990)
GROSS PROFIT		345,686	407,093
OTHER OPERATING INCOME		30,887	33,954
ADMINISTRATIVE EXPENSES		(69,747)	(50,753)
FINANCE INCOME	4	37,330	42,872
FOREIGN EXCHANGE GAINS		10,432	4,685
FAIR VALUE GAIN ON EQUITY INVESTMENTS	15	4,622	190
FAIR VALUE GAIN ON REVALUATION OF INVESTMENT PROPERTY	12	15,000	-
PROFIT BEFORE TAXATION	5	374,210	438,041
TAXATION CHARGE	7	(72,015)	(130,649)
PROFIT FOR THE YEAR ATTRIBUTABLE TO SHAREHOLDERS	8	302,195	307,392
OTHER COMPREHENSIVE INCOME			
REVALUATION SURPLUS		59,022	-
DEFERRED TAX ON REVALUATION SURPLUS		(17,707)	-
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		343,510	307,392
EARNINGS PER SHARE – Basic and diluted	9	Sh 8.89	Sh 9.05

**consolidated
statement of financial
position**

31 JULY 2011

	Notes	2011 Sh'000	2010 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	11(a)	867,409	735,647
Investment property	12	60,000	45,000
Operating lease prepayments	13	67,311	21,356
Equity investments	15	91,152	67,181
Corporate bonds	16	250,000	257,877
		<u>1,335,872</u>	<u>1,127,061</u>
Current assets			
Inventories	17	31,798	58,316
Trade and other receivables	18	147,593	107,152
Taxation recoverable	7(c)	72,325	7,696
Income note	19	44,412	92,649
Short term deposits	20	52,742	21,573
Bank and cash balances		55,243	97,719
		<u>404,113</u>	<u>385,105</u>
		<u>1,739,985</u>	<u>1,512,166</u>
Total assets			
EQUITY AND LIABILITIES			
Share capital and reserves			
Share capital	22	169,902	169,902
Revaluation surplus		255,680	228,061
Retained earnings		1,041,783	895,794
		<u>1,467,365</u>	<u>1,293,757</u>
Shareholders' equity			
Non current liabilities			
Deferred taxation	23	226,922	151,851
Current liabilities			
Trade and other payables	24	28,549	41,299
Taxation payable	7(c)	-	378
Unclaimed dividends	10(b)	17,149	24,881
		<u>45,698</u>	<u>66,558</u>
		<u>1,739,985</u>	<u>1,512,166</u>
Total equity and liabilities			

The financial statements on pages 15 to 48 were approved by the board of directors on 21 October 2011 and were signed on its behalf by:

J M WANJIGI

M K R SHAH

} Directors

CARBACID INVESTMENTS LIMITED

31 JULY 2011

		2011	2010
	Notes	Sh'000	Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	11(b)	13,000	4,950
Investment property	12	60,000	45,000
Operating lease prepayments	13	20,859	21,329
Investment in subsidiaries	14	3,546	3,348
Equity investments	15	91,152	67,181
Corporate bonds	16	250,000	257,877
		<u>438,557</u>	<u>399,685</u>
Current assets			
Trade and other receivables	18	11,078	1,601
Taxation recoverable	7(c)	7,928	-
Income note	19	44,412	92,649
Short term deposits	20	52,742	21,573
Due from subsidiary	21	173,487	126,318
Bank and cash balances		24,463	27,192
		<u>314,110</u>	<u>269,333</u>
Total assets		<u>752,667</u>	<u>669,018</u>
EQUITY AND LIABILITIES			
Share capital and reserves			
Share capital	22	169,902	169,902
Revaluation surplus		8,870	3,226
Retained earnings		549,813	464,475
Shareholders' equity		<u>728,585</u>	<u>637,603</u>
Non current liabilities			
Deferred taxation	23	3,931	4,250
Current liabilities			
Trade and other payables	24	3,002	1,906
Taxation payable	7(c)	-	378
Unclaimed dividends	10(b)	17,149	24,881
		<u>20,151</u>	<u>27,165</u>
Total equity and liabilities		<u>752,667</u>	<u>669,018</u>

The financial statements on pages 15 to 48 were approved by the board of directors on 21 October 2011 and were signed on its behalf by:

J M WANJIGI }
M K R SHAH } Directors

**consolidated
statement
of changes in equity**

FOR THE YEAR ENDED 31 JULY 2011

	Notes	Share capital Sh'000	Revaluation surplus Sh'000	Retained earnings Sh'000	Total Sh'000
At 1 August 2009		56,634	256,689	854,271	1,167,594
Total comprehensive income for the year		-	-	307,392	307,392
Bonus issue of shares*	22	113,268	-	(113,268)	-
Transfer of excess depreciation – prior years		-	(21,433)	21,433	-
Deferred tax on excess depreciation – prior years		-	6,430	(6,430)	-
Transfer of excess depreciation		-	(19,464)	19,464	-
Deferred tax on excess depreciation		-	5,839	(5,839)	-
Special dividend paid – 2009	10	-	-	(56,634)	(56,634)
Final dividend paid – 2009	10	-	-	(56,634)	(56,634)
Interim dividend paid – 2010	10	-	-	(67,961)	(67,961)
At 31 July 2010		<u>169,902</u>	<u>228,061</u>	<u>895,794</u>	<u>1,293,757</u>
At 1 August 2010		169,902	228,061	895,794	1,293,757
Total comprehensive income for the year		-	41,315	302,195	343,510
Transfer of excess depreciation		-	(19,565)	19,565	-
Deferred tax on excess depreciation		-	5,869	(5,869)	-
Final dividend paid – 2010	10	-	-	(101,941)	(101,941)
Interim dividend paid – 2011	10	-	-	(67,961)	(67,961)
At 31 July 2011		<u>169,902</u>	<u>255,680</u>	<u>1,041,783</u>	<u>1,467,365</u>

The revaluation surplus represents the surplus arising from the revaluation of property, plant and equipment and is not distributable.

At the Annual General Meeting held on 10 December 2009, members approved the capitalization of a sum of Sh 113,286,000 being part of the amount standing to the credit of revenue reserve account and appropriated the amount by way of a 2 for 1 bonus issue.

	Notes	Share capital Sh'000	Revaluation surplus Sh'000	Retained earnings Sh'000	Total Sh'000
At 1 August 2009		56,634	3,293	521,628	581,555
Total comprehensive income for the year		-	-	237,277	237,277
Bonus issue of shares*	22	113,268	-	(113,268)	-
Transfer of excess depreciation		-	(96)	96	-
Deferred tax on excess depreciation		-	29	(29)	-
Special dividend paid – 2009	10	-	-	(56,634)	(56,634)
Final dividend paid – 2009	10	-	-	(56,634)	(56,634)
Interim dividend paid – 2010	10	-	-	(67,961)	(67,961)
At 31 July 2010		<u>169,902</u>	<u>3,226</u>	<u>464,475</u>	<u>637,603</u>
At 1 August 2010		169,902	3,226	464,475	637,603
Profit for the year		-	-	255,177	255,177
Other comprehensive income					
Revaluation surplus		-	8,153	-	8,153
Deferred tax on revaluation surplus		-	(2,446)	-	(2,446)
Total comprehensive income for the year		<u>-</u>	<u>5,707</u>	<u>255,177</u>	<u>260,884</u>
Transfer of excess depreciation		-	(90)	90	-
Deferred tax on excess depreciation		-	27	(27)	-
Final dividend paid – 2010	10	-	-	(101,941)	(101,941)
Interim dividend paid – 2011	10	-	-	(67,961)	(67,961)
At 31 July 2011		<u>169,902</u>	<u>8,870</u>	<u>549,813</u>	<u>728,585</u>

The revaluation surplus represents the movement arising from the revaluation of property, plant and equipment and is not distributable.

At the Annual General Meeting held on 10 December 2009, members approved the capitalization of a sum of Sh 113,286,000 being part of the amount standing to the credit of revenue reserve account and appropriated the amount by way of a 2 for 1 bonus issue.

**consolidated
statement of cash flows**

FOR THE YEAR ENDED 31 JULY 2011

	Notes	2011 Sh'000	2010 Sh'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	25(a)	338,081	447,259
Interest received		45,207	42,872
Taxation paid	7(c)	(79,658)	(155,393)
Net cash generated from operating activities		<u>303,630</u>	<u>334,738</u>
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of plant and equipment	11	(121,347)	(239,374)
Purchase of leasehold land	13	(47,413)	-
Proceeds from disposal of plant and equipment		2,569	901
Purchase of corporate bonds	16	-	(257,877)
Purchase of equity investments	15	(19,349)	(23,974)
Proceeds from sale of equity investments		-	29,530
Net cash used in investing activities		<u>(185,540)</u>	<u>(490,794)</u>
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividends paid	10(b)	(177,634)	(164,604)
DECREASE IN CASH AND CASH EQUIVALENTS		<u>(59,544)</u>	<u>(320,660)</u>
CASH AND CASH EQUIVALENTS AT START OF YEAR			
		<u>211,941</u>	<u>532,601</u>
CASH AND CASH EQUIVALENTS AT 31 JULY			
	25(b)	<u><u>152,397</u></u>	<u><u>211,941</u></u>

1 ACCOUNTING POLICIES

Statement of compliance

The financial statements are prepared in accordance with International Financial Reporting Standards.

For purposes of reporting under the Kenyan companies Act, the balance sheet in these financial statements is represented by the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

Adoption of new and revised International Financial Reporting Standards (IFRSs)

(a) *Relevant new standards and amendments to published standards effective for the year ended 31 July 2011*

	Effective for annual periods beginning on or after
<i>Amendments and revised standards</i>	
IFRS 1, First-time adoption of International Financial Reporting Standards – amendments relating to oil and gas assets and determining whether an arrangement contains a lease	1 January 2010
IFRS 2, Share-based payment – amendments relating to group cash-settled share-based payment transactions	1 January 2010
IFRS 1, First-time Adoption of International Financial Reporting Standards – limited exemption from comparative IFRS 7 disclosures for first-time adopters	1 July 2010
Various improvements resulting from April 2009 Annual Improvements to IFRSs	1 January 2010
<i>New interpretation</i>	
IFRIC 19, Extinguishing Financial Liabilities with Equity Instruments	1 July 2010

(b) *Relevant new and amended standards in issue but not yet effective in the year ended 31 July 2011*

	Effective for annual periods beginning on or after
<i>New and Amendments to standards</i>	
IFRS 1, First-time Adoption of International Financial Reporting Standards – replacement of ‘fixed dates’ for certain exceptions with ‘the date of transition to IFRSs’; and additional exemption for entities ceasing to suffer from severe hyperinflation.	1 July 2011
IFRS 7, Financial Instruments: Disclosures – amendments enhancing disclosures about transfers of financial assets	1 July 2011

1 ACCOUNTING POLICIES (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

b) *Relevant new and amended standards in issue but not yet effective in the year ended 31 July 2011* (continued)

	Effective for annual periods beginning on or after
IAS 12, Income Taxes – limited scope amendment (recovery of underlying assets)	1 January 2012
IAS 1, Presentation of Financial Statements – presentation of items of other comprehensive income	1 July 2012
IAS 19, Employee Benefits (2011)	1 January 2013
IAS 27, Separate Financial Statements (2011)	1 January 2013
IAS 28, Investments in Associates and Joint Ventures (2011)	1 January 2013
IFRS 10, Consolidated Financial Statements	1 January 2013
IFRS 11, Joint Arrangements	1 January 2013
IFRS 12, Disclosure of Interests in Other Entities	1 January 2013
IFRS 13, Fair Value Measurement	1 January 2013
<i>Amendment to interpretations</i>	
IFRIC 14, IAS 19 – The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their interaction; prepayments of a minimum funding requirement	1 January 2013
IFRS 9, Financial Instruments – Classification and Measurement (2010)	1 January 2013

Amendments IAS 24: Related Party Disclosures (2009)

The amendments to IAS 24 provide a partial exemption from related party disclosure requirements for government-related entities; clarifies the definition of a related party; and include an explicit requirement to disclose commitments involving related parties. The amendments are effective for annual periods beginning on or after 1 January 2011.

The group will apply this amendment prospectively. The directors, however, anticipate no material impact to the group's financial statements.

1 ACCOUNTING POLICIES (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

(b) *Relevant new and amended standards in issue but not yet effective in the year ended 31 July 2011 (continued)*

IFRS 9: Financial Instruments (2010)

A revised version of IFRS 9 incorporating revised requirements for the classification and measurement of financial liabilities, and carrying over the existing derecognition requirements from IAS 39 Financial Instruments: Recognition and Measurement.

The revised financial liability provisions maintain the existing amortised cost measurement basis for most liabilities. New requirements apply where an entity chooses to measure a liability at fair value through profit or loss – in these cases, the portion of the change in fair value related to changes in the entity's own credit risk is presented in other comprehensive income rather than within profit or loss.

IFRS 10: Consolidated Financial Statements

IFRS 10 requires a parent to present consolidated financial statements as those of a single economic entity, replacing the requirements previously contained in IAS 27 'Consolidated and Separate Financial Statements' and SIC-12 'Consolidation - Special Purpose Entities'.

The standard identifies the principles of control, determines how to identify whether an investor controls an investee and therefore must consolidate the investee, and sets out the principles for the preparation of consolidated financial statements. The Standard introduces a single consolidation model for all entities based on control, irrespective of the nature of the investee (i.e. whether an entity is controlled through voting rights of investors or through other contractual arrangements as is common in 'special purpose entities'). Under IFRS 10, control is based on whether an investor has:

- power over the investee
- exposure, or rights, to variable returns from its involvement with the investee, and
- the ability to use its power over the investee to affect the amount of the returns.

The standard is effective for annual periods beginning on or after 1 January 2013. The Group will apply this amendment prospectively. The directors anticipate no material impact to the Group's financial statements currently.

1 ACCOUNTING POLICIES (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

(b) *Relevant new and amended standards in issue but not yet effective in the year ended 31 July 2011* (continued)

IFRS 11: Joint Arrangements

IFRS 11 replaces IAS 31 'Interests in Joint Ventures'. It requires a party to a joint arrangement to determine the type of joint arrangement in which it is involved by assessing its rights and obligations and then account for those rights and obligations in accordance with that type of joint arrangement.

Joint arrangements are either joint operations or joint ventures:

- A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement (joint operators) have rights to the assets, and obligations for the liabilities, relating to the arrangement. Joint operators recognise their assets, liabilities, revenue and expenses in relation to its interest in a joint operation (including their share of any such items arising jointly)
- A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement (joint venturers) have rights to the net assets of the arrangement. A joint venturer applies the equity method of accounting for its investment in a joint venture in accordance with IAS 28 'Investments in Associates and Joint Ventures (2011)'. Unlike IAS 31, the use of 'proportionate consolidation' to account for joint ventures is not permitted.

The standard is effective for annual periods beginning on or after 1 January 2013. The group will apply this amendment prospectively. The directors anticipate no material impact to the groups' financial statements currently. However, the group would have to apply this standard to any such arrangements entered in the course of its expansion strategy.

IFRS 12: Disclosure of Interests in Other Entities

IFRS 12 requires the extensive disclosure of information that enables users of financial statements to evaluate the nature of, and risks associated with, interests in other entities and the effects of those interests on its financial position, financial performance and cash flows.

In high-level terms, the required disclosures are grouped into the following broad categories:

- Significant judgements and assumptions - such as how control, joint control, significant influence has been determined
- Interests in subsidiaries - including details of the structure of the group, risks associated with structured entities, changes in control, and so on
- Interests in joint arrangements and associates - the nature, extent and financial effects of interests in joint arrangements and associates (including names, details and summarised financial information)
- Interests in unconsolidated structured entities - information to allow an understanding of the nature and extent of interests in unconsolidated structured entities and to evaluate the nature of, and changes in, the risks associated with its interests in unconsolidated structured entities

IFRS 12 lists specific examples and additional disclosures which further expand upon each of these disclosure objectives, and includes other guidance on the extensive disclosures required.

The standard is effective for annual periods beginning on or after 1 January 2013. The group will apply this amendment prospectively. The directors anticipate no material impact to the groups' financial statements currently. However, the group would have to apply this standard to any such interest acquired in the course of its expansion strategy.

1 ACCOUNTING POLICIES (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(b) *Relevant new and amended standards in issue but not yet effective in the year ended 31 July 2011 (continued)*

IFRS 13: Fair Value Measurement

IFRS 13 replaces the guidance on fair value measurement in existing IFRS accounting literature with a single standard. The IFRS is the result of joint efforts by the IASB and FASB to develop a converged fair value framework. The IFRS defines fair value, provides guidance on how to determine fair value and requires disclosures about fair value measurements. However, IFRS 13 does not change the requirements regarding which items should be measured or disclosed at fair value.

IFRS 13 applies when another IFRS requires or permits fair value measurements or disclosures about fair value measurements (and measurements, such as fair value less costs to sell, based on fair value or disclosures about those measurements). With some exceptions, the standard requires entities to classify these measurements into a 'fair value hierarchy' based on the nature of the inputs:

- Level 1 - quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 - inputs other than quoted market prices included within Level 1 that are observable for the asset or liability, either directly or indirectly;
- Level 3 - unobservable inputs for the asset or liability.

Entities are required to make various disclosures depending upon the nature of the fair value measurement (e.g. whether it is recognised in the financial statements or merely disclosed) and the level in which it is classified.

The standard is effective for annual periods beginning on or after 1 January 2013. The group will apply this amendment prospectively. The directors anticipate no material impact to the groups' financial statements.

(c) *Early adoption of standards*

The group did not early-adopt any new or amended standards in the period.

Basis of preparation

The financial statements have been prepared on the historical cost basis of accounting, as modified by the revaluation of certain assets.

Basis of consolidation

Subsidiaries undertakings, being those companies in which the Group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and are no longer consolidated as from the date of disposal. All inter company balances and unrealised surpluses and deficits on transactions with the subsidiary companies have been eliminated.

The consolidated financial statements incorporate the financial statements of the company and its wholly owned subsidiaries, Carbacid (CO,) Limited, Goodison Twenty Nine Limited and Goodison Forty Seven Limited, whose financial years ends on 31 July.

Turnover

Income is recognised upon delivery of goods to customers and represents the invoiced value of goods and services provided to customers, excluding value added tax.

1 ACCOUNTING POLICIES (continued)

Dividend income

Dividend income from equity investments is recognised when the company's right to receive dividends as a shareholder is established.

Rental income

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight-line basis over the lease term.

Inventories

Carbon dioxide gas and dry ice inventories are stated at the lower of cost and net realisable value. Cost comprises materials and, where appropriate, labour and attributable overheads. Net realisable value is the selling price in the ordinary course of business. The cost of other inventories is determined on the weighted average cost basis.

Property, plant and equipment

Property, plant and equipment are stated at cost or at professionally revalued amounts less accumulated depreciation and any accumulated impairment loss. Revaluations are performed with sufficient regularity, every 3 – 5 years, such that the carrying amounts do not differ materially from those that would be determined using the value at the end of the reporting period. The basis of valuation is depreciated replacement cost.

Increases in the carrying amount arising on revaluations are recognised in other comprehensive income and accumulated in the revaluation surplus. Decreases that offset previous increases of the same asset are charged against the revaluation surplus. All other decreases are charged to profit or loss. Each year, excess depreciation representing the additional depreciation following revaluations of property, plant and equipment over depreciation based on historical cost is transferred from revaluation reserve to retained earnings.

The gain or loss arising on disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognized in profit or loss.

Properties in the course of construction for production, supply or administrative purposes are carried at cost, less any recognised impairment loss. Cost includes professional fees and, for qualifying assets, borrowing costs capitalised in accordance with the Group's accounting policy. Such properties are classified to the appropriate categories of property, plant and equipment when completed and ready for intended use. Depreciation of these assets, on the same basis as other property assets, commences when the assets are ready for their intended use.

Returnable gas cylinders in circulation are recorded within the property, plant and equipment at cost net of accumulated depreciation less any impairment losses.

1 ACCOUNTING POLICIES (continued)

Depreciation

Depreciation is calculated to write off the cost or valuation of property, plant and equipment in equal instalments over its estimated useful lives at the following annual rates:

Buildings	Over 50 years, or remaining period of lease whichever is less
Boreholes	5%
Roads	10%
Motor vehicles	10% - 25%
Plant and equipment	5% - 33.3%

The estimated useful lives, residual values and depreciation method are reviewed at each year end, with effect of any changes in estimate accounted for on a prospective basis.

Leasehold land

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the term of the lease.

Investment in subsidiary company

Investment in subsidiary company is stated at cost less provision for impairment where applicable.

Taxation

Current taxation is provided for on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred income tax is provided for, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilized.

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

Retirement benefit obligations

The Group operates a defined contribution pension scheme for eligible non-unionisable employees. The scheme is externally administered and is funded by contributions from both the company and employees.

The Group also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The Group's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per employee per month.

The Group's obligations to these schemes are recognised in the profit or loss as they fall due.

Provision for employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the end of each reporting period.



1 ACCOUNTING POLICIES (continued)

Foreign currencies

Monetary assets and liabilities expressed in foreign currencies are translated into Kenya shillings at the rates of exchange ruling at the end of the reporting period. Transactions in foreign currencies are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the profit or loss.

Impairment of tangible and intangible assets excluding goodwill

At the end of each reporting period, the Group reviews the carrying amounts of its financial assets, tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised in the profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

Leases

Leases of property, plant and equipment where the Group assumes substantially all the benefits and risks of ownership are classified as finance leases. Finance leases are capitalised at the estimated present value of the underlying lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charge are included in other long term payables. The interest element of the finance charge is charged to the profit or loss over the lease period. The property, plant and equipment acquired under finance leasing contracts are depreciated over their expected useful lives or where shorter, the term of the relevant lease.

Leases of assets under which all the risks and benefits of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit or loss on the straight-line basis over the term of the lease.

When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

Financial instruments

Financial assets and financial liabilities are recognised in the Group's statement of financial position when the group becomes a party to the contractual provisions of the instrument.

Financial assets

Classification

The Group classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held-to-maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

(i) Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. Gains and losses arising from changes in fair value are recognised in the profit or loss.

1 ACCOUNTING POLICIES (continued)

Financial assets (continued)

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Group provides money, goods or services directly to a debtor with no intention of trading the receivable.

(iii) Held to maturity investments

Financial assets with fixed or determinable payments and fixed maturity where the Group has the positive intent and ability to hold to maturity other than loans and receivables originated by the company are classified as held to maturity investments and are measured at amortised cost using effective interest rate method less any impairment with revenue recognised on an effective yield basis.

(iv) Available-for-sale financial assets

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity are classified as available-for-sale.

Recognition and measurement

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in the investments revaluation reserve, with the exception of impairment losses, interest calculated using the effective interest method, and foreign exchange gains and losses on monetary assets, which are recognised in profit or loss. Where the investment is disposed of or is determined to be impaired, the cumulative gain or loss previously accumulated in the investments revaluation reserve is reclassified to profit or loss. Dividends on available-for-sale equity instruments are recognised in the profit or loss when the Group's right to receive the dividends is established.

Derecognition of financial assets

Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership.

Impairment and uncollectability of financial assets

At the end of each reporting period, all financial assets are subject to review for impairment.

If it is probable that the Group will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, receivables, or held-to-maturity investments carried at amortised cost, an impairment or bad debt loss has occurred. The carrying amount of the asset is reduced to its estimated recoverable amount either directly or through use of an allowance account. The amount of the loss incurred is dealt with through profit or loss for the period.

If a loss on a financial asset carried at fair value (recoverable amount is below original acquisition cost) has been recognised in other comprehensive income and there is objective evidence that the asset is impaired, the cumulative net loss that had been recognised in other comprehensive income is removed and recognised in the profit or loss for the period even though the financial asset has not been derecognised.

1 ACCOUNTING POLICIES (continued)

Financial liabilities

Bank borrowings

Interest bearing bank loans and overdrafts are recorded at the proceeds received, net of direct issue costs. Finance charges including premiums payable on settlement or redemption, are accounted for on an accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period they arise.

Trade payables

Trade payables are carried at cost which is measured at the fair or contracted value of the consideration to be paid in future in respect of goods and services supplied by the suppliers, whether billed or not, to the Group.

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or they expire. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

Investment properties

Investment properties are treated as long term investments and are carried at market value determined, on a periodic basis, by external independent valuers. Investment properties are not subject to depreciation. Changes in their carrying amounts are dealt with in the profit or loss.

Upon disposal of an investment property, the difference between the net disposal proceeds and the carrying amount is charged or credited to the profit or loss.

Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker (Group Board of Directors). The directors then allocate resources to and assess the performance of the operating segments of the Group.

The operating segments are based on the Group's internal reporting structure. In accordance with IFRS 8, the group has the following operating segments; trading and investments.

Segment results include revenue and expenses directly attributable to a segment.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one period (property, plant and equipment).

Cash and cash equivalents

For the purpose of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired; less advances from banks repayable within three months from the date of the advance.

1 ACCOUNTING POLICIES (continued)

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

2 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

In the process of applying the Group's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities within the next financial year. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates including expectations of future events that are believed to be reasonable under the circumstances. They are detailed below:

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods.

(i) Critical judgements in applying the Group's accounting policies

Held to maturity investments

The Group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity financial assets. This classification requires significant judgement. In making this judgement, the Group evaluates its intention and ability to hold such investments to maturity. If the Group fails to keep these assets to maturity, for example selling an insignificant amount close to maturity, it will be required to classify the entire class as available-for-sale. The assets would therefore have to be measured at fair value and not amortised cost with the difference arising from this change in valuation being a corresponding entry in the fair value reserve in shareholders' equity.

(ii) Key sources of estimation uncertainty

Property, plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

3 SEGMENTAL INFORMATION

(a) Adoption of IFRS 8 Operating segments

The Group has adopted IFRS 8 Operating Segments which became effective for annual periods beginning on or after 1 January 2010. IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the group that are regularly reviewed by the chief operating decision maker in order to allocate resources to the segments and to assess their performance. In contrast, the predecessor Standard (IAS 14, Segment Reporting) required an entity to identify two sets of segments (business and geographical), using a risks and returns approach, with the entity's 'system of internal financial reporting to key management personnel serving only as the starting point for the identification of such segments. Following the adoption of IFRS 8, the identification of the Group's reportable segments has not changed.

3 SEGMENTAL INFORMATION (continued)

(a) Products and services from which reportable segments derive their revenues

Information reported to the Group's chief operating decision maker (the Board of Directors) for the purposes of resource allocation and assessment of segment performance is focussed on the principal activities of the Group. The principal activities of the Group are mining and sale of carbon dioxide gas and investments. These are organised in the following operating segments:

- Trading
- Investments.

(b) Segment revenues and results, assets and liabilities

The segment information provided to the Group's Board of Directors for the reportable segments is as follows:-

	CO ₂ trading Sh'000	Carbacid Investments Sh'000	Group Sh'000
2011			
Turnover	576,092	-	576,092
Profit before taxation	310,429	265,069	375,198
Segment assets	1,191,934	752,667	1,740,973
Segment liabilities	448,518	24,081	272,620
Depreciation	44,248	103	44,351
Amortisation	-	470	470
Capital expenditure	111,992	-	111,992
2010			
Turnover	620,083	-	620,083
Profit before taxation	381,961	251,229	438,041
Segment assets	972,814	669,018	1,512,166
Segment liabilities	313,711	31,415	218,409
Depreciation	40,572	100	40,672
Amortisation	-	470	470
Capital expenditure	239,224	150	239,374

Revenue reported above represents revenue generated from external customers.

There were no revenues deriving from transactions with a single external customer that amount to 10% or more of the Group's revenue.

(c) Geographical information

The Group's revenues are derived from sales in the following markets:

	2011 Sh'000	2010 Sh'000
Domestic sales – Kenya	273,230	334,834
Export sales – other African countries	302,862	285,249
	576,092	620,083

4 FINANCE INCOME

Interest receivable from held to maturity investments:

	2011 Sh'000	2010 Sh'000
- corporate bonds	31,250	23,288
- Income note	4,939	9,131
- short term investments and deposits	1,087	9,586
Bank current account	54	867
	<u>37,330</u>	<u>42,872</u>

5 PROFIT BEFORE TAXATION

The profit before taxation is arrived at after charging/(crediting):

Directors' remuneration - fees	9,182	8,638
- other emoluments	400	-
Auditors' remuneration	2,019	1,876
Staff costs (note 6)	80,442	70,550
Depreciation (note 11)	44,643	40,672
Amortisation of operating lease prepayment (note 13)	1,458	470
Loss/ (gain)/loss on disposal of property, plant and equipment	1,395	(191)
Gain on sale of equity investments	-	(7,755)
	<u></u>	<u></u>

6 STAFF COSTS

Salaries and wages	75,831	66,087
Social security costs	192	185
Pension costs - defined contribution plan	3,872	3,223
Leave pay expense	547	1,055
	<u>80,442</u>	<u>70,550</u>

7 TAXATION

(a) Taxation charge

Current taxation based on taxable profit at 30%

Deferred taxation (note 23)

- Current year

- Prior year (over)/ under provision

Net taxation charge

GROUP		COMPANY	
2011 Sh'000	2010 Sh'000	2011 Sh'000	2010 Sh'000
14,651	121,035	12,657	15,420
60,156	8,389	-	(1,468)
(2,792)	1,225	(2,765)	-
<u>72,015</u>	<u>130,649</u>	<u>9,892</u>	<u>13,952</u>

7	TAXATION (continued)	GROUP		COMPANY	
		2011 Sh'000	2010 Sh'000	2011 Sh'000	2010 Sh'000
(b)	Reconciliation of expected tax based on accounting profit to tax expense				
	Accounting profit before taxation	374,210	438,041	265,069	251,229
	Tax at the applicable rate of 30%	112,263	131,412	79,521	75,369
	Tax effect of expenses not deductible for tax purposes	1,974	1,169	172	227
	Tax effect of income not taxable	(7,036)	(3,157)	(67,036)	(61,644)
	Prior year (over)/ under provision	(2,792)	1,225	(2,765)	-
	Tax effect of investment deduction exceeding 100% of cost	(32,394)	-	-	-
		72,015	130,649	9,892	13,952
(c)	Taxation recoverable/ (payable)				
	At start and end of year	7,318	(27,040)	(378)	3,036
	Charge for the year	(14,651)	(121,035)	(12,657)	(15,420)
		(7,333)	(148,075)	(13,035)	(12,384)
	Taxation paid	79,658	155,393	20,963	12,006
	At end of year	72,325	7,318	7,928	(378)
	Comprising of:				
	Taxation payable	-	(378)	-	(378)
	Taxation recoverable	72,325	7,696	7,928	-
		72,325	7,318	7,928	(378)

8 PROFIT ATTRIBUTABLE TO SHAREHOLDERS

The profit attributable to shareholders dealt with in the company financial statements of Carbacid Investments Limited is Sh 255,177,000 (2010 – Sh 237,277,000).

9 EARNINGS PER SHARE – BASIC & DILUTED

Earnings per share is calculated by dividing the profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	2011	2010
Earnings		
Earnings for purposes of basic and diluted earnings per share (Sh' 000)	302,195	307,392
Weighted average number of ordinary shares		
At start and end of year	33,980,265	33,980,265
Earnings per share		
Basic (Sh) and diluted (Sh)	8.89	9.05

The calculation of basic and diluted earnings per share is based on continuing operations attributed to the ordinary shareholders. There were no discontinued operations during the year.

There were no potentially dilutive shares outstanding at 31 July 2011 or at 31 July 2010.

10 DIVIDENDS

(a) Dividends per share

	2011 Sh	2010 Sh
Interim dividend paid	2	2
Proposed dividend - Final	3	3
	5	5

Proposed dividends are not accounted for until they have been ratified at the Annual General meeting.

An interim dividend of Sh 2.00 per share (2010 - Sh 2.00) on 33,980,265 shares (2010 – 33,980,265 shares) was paid during the year amounting to Sh 67,961,000 (2010 – Sh 67,961,000). The Directors propose a final dividend of Sh 3.00 per share (2010-Sh 3.00) amounting to Sh 101,940,795 (2010 – Sh 101,940,795).

(b) The movement in the dividends payable account is as follows:

	2011 Sh'000	2010 Sh'000
At beginning of the year	24,881	8,256
Special dividend declared -2009	-	56,634
Interim dividends declared	67,961	67,961
Final dividends declared – 2010/2009	101,941	56,634
	194,783	189,485
Dividends paid	(177,634)	(164,604)
At the end of the year	17,149	24,881

11 (a) PROPERTY, PLANT AND EQUIPMENT - GROUP

	Leasehold buildings & boreholes Sh'000	Freehold land Sh'000	Roads Sh'000	Motor vehicles Sh'000	Plant and equipment Sh'000	Capital work in progress Sh'000	Total Sh'000
COST OR VALUATION							
As at 1 August 2009	62,603	-	21,000	86,365	398,573	11,025	579,566
Additions	150	-	-	8,250	79,332	151,642	239,374
Disposals	-	-	-	(800)	(33)	-	(833)
Transfers	-	-	-	-	14,935	(14,935)	-
At 31 July 2010	62,753	-	21,000	93,815	492,807	147,732	818,107
COMPRISING:							
Valuation – 2008	46,314	-	-	72,495	372,003	-	490,812
Valuation - 2004	-	-	21,000	-	-	-	21,000
Cost	16,439	-	-	21,320	120,804	147,732	306,295
	62,753	-	21,000	93,815	492,807	147,732	818,107
As at 1 August 2010	62,753	-	21,000	93,815	492,807	147,732	818,107
Additions	8,057	2,055	-	14,175	17,952	79,108	121,347
Disposals	-	-	-	(4,862)	(55)	-	(4,917)
Transfers	12,544	-	-	-	214,296	(226,840)	-
Revaluation adjustment	6,786	-	(4,095)	8,141	(77,668)	-	(66,836)
At 31 July 2011	90,140	2,055	16,905	111,269	647,332	-	867,701
COMPRISING:							
Valuation – 2011	53,100	-	16,905	75,774	294,280	-	440,059
Cost	37,040	2,055	-	35,495	353,052	-	427,642
	90,140	2,055	16,905	111,269	647,332	-	867,701
DEPRECIATION							
As at 1 August 2009	1,466	-	10,500	7,513	22,432	-	41,911
Charge for the year	1,467	-	2,100	8,642	28,463	-	40,672
Eliminated on disposal	-	-	-	(120)	(3)	-	(123)
At 31 July 2010	2,933	-	12,600	16,035	50,892	-	82,460
As at 1 August 2010	2,933	-	12,600	16,035	50,892	-	82,460
Charge for the year	1,777	-	2,100	11,002	29,764	-	44,643
Eliminated on disposal	-	-	-	(912)	(41)	-	(953)
Eliminated on revaluation	(4,418)	-	(14,700)	(26,125)	(80,615)	-	(125,858)
At 31 July 2011	292	-	-	-	-	-	292

11 (a) PROPERTY, PLANT AND EQUIPMENT - GROUP

	Leasehold buildings & boreholes Sh'000	Freehold land Sh'000	Roads Sh'000	Motor vehicles Sh'000	Plant and equipment Sh'000	Capital work in progress Sh'000	Total Sh'000
NET BOOK VALUE							
At 31 July 2011	89,848	2,055	16,905	111,269	647,332	-	867,409
At 31 July 2010	59,820	-	8,400	77,780	441,915	147,732	735,647
NET BOOK VALUE (cost)							
At 31 July 2011	51,304	2,055	9,653	63,535	369,632	-	496,179
At 31 July 2010	21,530	-	1,945	45,188	193,451	147,732	409,846

The assets were valued by C P Robertson Dunn Valuers and Estate Agents, at 31 July 2011 on a depreciated replacement cost basis.

Capital work in progress related to costs incurred in the setting up of a new processing facility in Rift Valley, Kenya. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts were transferred to the appropriate property, plant and equipment categories since the project was completed and commissioned during the year.

(b) PROPERTY, PLANT AND EQUIPMENT - COMPANY

	Buildings	
	2011 Sh'000	2010 Sh'000
COST OR VALUATION		
At start of year	5,150	5,000
Additions	-	150
Revaluation adjustment	7,850	-
At end of year	13,000	5,150
DEPRECIATION		
At start of year	200	100
Charge for the year	103	100
Eliminated on revaluation	(303)	-
At end of year	-	200
NET BOOK VALUE		
At end of year	13,000	4,950
NET BOOK VALUE (cost basis)	199	343

FOR THE YEAR ENDED 31 JULY 2011

	GROUP		COMPANY	
	2011 Sh'000	2010 Sh'000	2011 Sh'000	2010 Sh'000
12 INVESTMENT PROPERTY				
FAIR VALUE				
At start of year	45,000	45,000	45,000	45,000
Fair value gain	15,000	-	15,000	-
At end of year	60,000	45,000	60,000	45,000

The property was valued by C P Robertson Dunn Valuers and Estate Agents, at 31 July 2011.

	GROUP		COMPANY	
	2011 Sh'000	2010 Sh'000	2011 Sh'000	2010 Sh'000
13 OPERATING LEASE PREPAYMENTS				
COST				
At start and end of year	27,550	27,550	27,523	27,523
Additions	47,413	-	-	-
	74,963	27,550	27,523	27,523
ACCUMULATED AMORTISATION				
At start of the year	6,194	5,724	6,194	5,724
Charge for the year	1,458	470	470	470
At end of year	7,652	6,194	6,664	6,194
Net book value	67,311	21,356	20,859	21,329

14 INVESTMENT IN SUBSIDIARIES

Carbacid (CO ₂) Limited – 100% Owned	3,348	3,348
Goodison Twenty Nine Limited – 100% Owned	99	-
Goodison Forty Seven Limited – 100% Owned	99	-
	3,546	3,348

As at 31 July the net assets of Carbacid (CO₂) Limited amounted to Sh 743,416,000 (2010:Sh 659,502,000). Goodison Twenty Nine Limited and Goodison Forty Seven Limited are property owning companies.

FOR THE YEAR ENDED 31 JULY 2011

15 EQUITY INVESTMENTS – GROUP AND COMPANY

At fair value through profit and loss

	2011 Sh'000	2010 Sh'000
At start of year	67,181	64,792
Purchased during the year	19,349	23,974
Gain on revaluation	4,622	190
Disposals	-	(21,775)
At end of year	91,152	67,181

Equity investments comprise marketable securities in various companies which are revalued annually at the close of business on 31 July by reference to Stock Exchange quoted prices. The group's shareholding in each of these companies is less than 1%. The market value approximates to fair value. Unrealised revaluation surpluses and deficits are dealt with in the profit or loss.

16 CORPORATE BONDS - GROUP & COMPANY

Held to maturity – at amortised cost

	2011 Sh'000	2010 Sh'000
At amortized cost	250,000	257,877
Maturing within one year	-	-
Maturing over one year	250,000	257,877

The average interest rate during the year was 11.25% (2010 – 12%).

17 INVENTORIES – GROUP

Spare parts and materials	29,181	54,670
Fuel and chemicals	1,707	2,109
Carbon dioxide gas and dry ice	447	807
Oxygen gas	148	309
Other industrial gases	315	421
	31,798	58,316

FOR THE YEAR ENDED 31 JULY 2011

18 TRADE AND OTHER RECEIVABLES

	GROUP		COMPANY	
	2011 Sh'000	2010 Sh'000	2011 Sh'000	2010 Sh'000
Trade receivables	129,211	98,076	11,078	1,192
Provision for bad debts	(5,375)	(557)	-	-
	123,836	97,519	11,078	1,192
Prepayments	475	586	-	409
Other receivables	23,282	9,047	-	-
	147,593	107,152	11,078	1,601

19 INCOME NOTE – GROUP AND COMPANY

	2011 Sh'000	2010 Sh'000
<i>Held to maturity</i>		
At amortised cost	44,412	92,649
Maturing within 90 days	44,412	92,649

The average interest rate during the year was 11.25 % (2010 – 10.10%).

20 SHORT TERM DEPOSITS – GROUP AND COMPANY

<i>At amortised cost</i>		
Fixed deposits		
-Local currency	52,742	21,573

All short term deposits mature within three months of the contract date.

Weighted average effective interest rates on deposits during the year was 7.00% (2010 – 7.00%)

21 DUE FROM SUBSIDIARY

	2011 Sh'000	2010 Sh'000
Carbacid (CO ₂) Limited	173,487	126,318

FOR THE YEAR ENDED 31 JULY 2011

22 SHARE CAPITAL

Authorised:

50,000,000 ordinary shares of Sh 5 each

Issued and fully paid:

33,980,265 ordinary shares of Sh 5 each

Movement in share capital is analysed as follows:

		2011 Sh'000	2010 Sh'000
Authorised:			
As at 1 August	12,000,000	250,000	60,000
Increase	38,000,000	-	190,000
As at 31 July	50,000,000	250,000	250,000
Issued and fully paid:			
As at 1 August	11,326,755	169,902	56,634
Bonus issue	22,653,510	-	113,268
As at 31 July	33,980,265	169,902	169,902

At the Annual General Meeting held on 10 December 2009, members approved the capitalization of a sum of Sh 113,286,000 being part of the amount standing to the credit of revenue reserve account and appropriated the amount by way of a 2 for 1 bonus issue.

23 DEFERRED TAXATION

Deferred taxation is calculated on all temporary differences under the liability method using the currently enacted tax rate of 30%. The net deferred taxation liability is attributed to the following items:

	GROUP		COMPANY	
	2011 Sh'000	2010 Sh'000	2011 Sh'000	2010 Sh'000
Accelerated capital allowances	109,114	51,244	-	-
Leave pay provision	(871)	(708)	-	-
Unrealised exchange gain/(loss)	3,129	(790)	-	(1,496)
Revaluation surplus - investment property	-	4,367	-	4,367
Revaluation surplus - property and equipment	115,550	97,738	3,931	1,379
	226,922	151,851	3,931	4,250
The movement on the deferred tax account is as follows:				
At start of year	151,851	142,237	4,250	5,718
Profit or loss charge/ (credit) (note 7)	60,156	8,389	-	(1,468)
Prior year (over)/ under provision (note 7)	(2,792)	1,225	(2,765)	-
Debited direct to equity	17,707	-	2,446	-
At end of year	226,922	151,851	3,931	4,250

	GROUP		COMPANY	
	2011 Sh'000	2010 Sh'000	2011 Sh'000	2010 Sh'000
24 TRADE AND OTHER PAYABLES				
Trade payables	11,198	14,691	2,841	1,745
Other payables and accruals	14,447	24,251	161	161
Leave pay provision	2,904	2,357	-	-
	<u>28,549</u>	<u>41,299</u>	<u>3,002</u>	<u>1,906</u>
Movement in leave pay provision is as follows:				
At the beginning of the year	2,357	1,302	-	-
Provision for the year	547	1,055	-	-
	<u>2,904</u>	<u>2,357</u>	<u>-</u>	<u>-</u>
		Notes	2011 Sh'000	2010 Sh'000
25 NOTES TO THE CASH FLOW STATEMENT - GROUP				
(a) RECONCILIATION OF PROFIT TO CASH GENERATED FROM OPERATIONS				
Profit before taxation			374,210	438,041
Finance income recognized in profit for the year	4		(37,330)	(42,872)
Depreciation	11		44,643	40,672
Amortisation	13		1,458	470
Loss/(gain) on disposal of plant and equipment			1,395	(191)
Gain on revaluation of equity investments	15		(4,622)	(190)
Gain on sale of equity investments			-	(7,755)
Gain on revaluation of investment properties			(15,000)	-
Operating profit before working capital changes			<u>364,754</u>	<u>428,175</u>
Decrease/(increase) in inventories			26,518	(23,483)
(Increase)/ decrease in trade and other receivables			(40,441)	29,485
(Decrease)/increase in trade and other payables			(12,750)	13,082
Cash generated from operations			<u>338,081</u>	<u>447,259</u>
(b) ANALYSIS OF CASH AND CASH EQUIVALENTS				
Income note			44,412	92,649
Short term deposits			52,742	21,573
Bank balances and cash			55,243	97,719
			<u>152,397</u>	<u>211,941</u>

For the purpose of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired.

26 RELATED PARTY TRANSACTIONS

(a) Related party transactions

Related company balances not settled as at the statement of financial position date are as shown in note 21. These parties are related by virtue of common shareholding and directorship. During the year the following transactions were entered into with related parties:

COMPANY

	2011 Sh'000	2010 Sh'000
Dividends receivable from Carbacid (CO ₂) Limited	200,000	195,030
Dividends received from Carbacid (CO ₂) Limited	195,030	161,593
Payments made by Carbacid (CO ₂) Limited on behalf of the company	7,659	68,712
Receipts by Carbacid (CO ₂) Limited on behalf of the company	49,857	-

GROUP

During the year, the group contracted consultancy services from Strategic Consultants Limited, a firm related to it through common directorship. The fees charged for these services were Sh 3,878,000 (2010 – Sh 3,036,290).

	2011 Sh'000	2010 Sh'000
Purchase of land on behalf of Goodison Twenty Nine Limited	54,713	-
Purchase of land on behalf of Goodison Forty Seven Limited	2,055	-

(b) Key management compensation

GROUP & COMPANY

The remuneration of directors and other members of key management during the year were as follows:

Directors' remuneration:

Fees for services as directors	9,182	8,638
Other emoluments	400	-
	9,582	8,638

Key management compensation:

Salaries and other benefits	18,211	12,396
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27 CAPITAL COMMITMENTS – GROUP AND COMPANY

Authorised and contracted for	33,571	64,200
Authorised but not contracted for	11,553	62,520
	45,124	126,720

28 RETIREMENT BENEFIT OBLIGATIONS

The Group contributes to a Group defined contribution pension scheme and to a statutory defined contribution pension scheme, the National Social Security Fund. Contributions to the Group plan are determined by the rules of the plan and totalled Sh 3,872,000 (2010 - Sh 3,222,347) in the year. Contributions to the statutory scheme are determined by local statute. During the year ended 31 July 2011, the Group contributed Sh 192,000 (2010 - Sh 184,600) to the statutory scheme.

29 OPERATING LEASE COMMITMENTS

GROUP AS LESSEE:

The totals of future minimum lease payments under operating leases are as follows:

	2011 Sh'000	2010 Sh'000
Within one year	361	361
Within two to five years	1,442	1,442
Over five years	15,060	15,421
	<u>16,863</u>	<u>17,224</u>

GROUP AS LESSOR:

The future minimum lease payments receivable under operating leases are as follows:

	2011 Sh'000	2010 Sh'000
Within one year	10,220	9,500
Within two to five years	39,901	32,100
	<u>50,121</u>	<u>41,600</u>

Leases are negotiated for an average term of five years and rentals are reviewed periodically.

30 CONTINGENT LIABILITIES

	2011 Sh'000	2010 Sh'000
Guarantees	3,000	-

31 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

(a) Credit risk management

Credit risk refers to the risk that customers will default on its contractual obligations resulting in financial loss to the Group. The carrying amount of financial assets recorded in the financial statements, which are stated net of impairment losses, represents the Group's maximum exposure to credit risk.

The Group's management assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. The utilisation of credit limits is regularly monitored.

The Group's credit risk is primarily attributable to liquid funds with financial institutions. The risk is low because the counter parties are banks with high credit-ratings.

31 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

(a) Credit risk management (continued)

The amount that best represents the Group's maximum exposure to credit risk is made up as follows:

31 July 2011	Total amount Sh'000	Fully Performing Sh'000	Past due Sh'000	Impaired Sh'000
Trade receivables	129,211	98,195	25,641	5,375
Bank balances	52,181	52,181	-	-
Income note	44,412	44,412	-	-
Short term deposits	52,742	52,742	-	-
	<u>278,546</u>	<u>247,530</u>	<u>25,641</u>	<u>5,375</u>
31 July 2010				
Trade receivables	98,076	77,791	19,728	557
Bank balances	96,133	96,133	-	-
Income note	92,649	92,649	-	-
Short term deposits	21,573	21,573	-	-
	<u>308,431</u>	<u>288,146</u>	<u>19,728</u>	<u>557</u>

The impaired amount represents the doubtful receivables against which full provision has been made. The customers under the fully performing category are paying their debts as they continue trading.

The receivables that are past due relate to trade receivables overdue by over 120 days. The receivables are not impaired and continue to be paid. The Group's management is actively following these receivables. No collateral is held with respect to the debt.

(b) Liquidity risk management

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations from financial liabilities. The ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the Group's short, medium and long-term funding and liquidity management requirements. The Group manages liquidity risk by maintaining banking facilities through continuous monitoring of forecast and actual cash flows.

31 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

(b) Liquidity risk management (continued)

The table below analyses the Group's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the end of each reporting period. The amounts disclosed in the table below represent undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Within 12 months Sh'000	Over 12 months Sh'000
At 31 July 2011:		
Trade payables	11,000	-
Other payables – cylinder deposits	9,022	-
	<u>20,022</u>	<u>-</u>
At 31 July 2010:		
Trade payables	39,733	-
Other payables - cylinder deposits	8,158	-
	<u>47,891</u>	<u>-</u>

Fair value of financial assets and liabilities

(i) Financial instruments not measured at fair value

Disclosures of fair value of financial instruments not measured at fair value have not been made because the financial instruments carrying amounts is a reasonable approximation of their fair values.

(ii) Fair value hierarchy

The Group specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the company's market assumptions. These two types of inputs have created the following fair value hierarchy:

- Level 1 – Quoted prices in active markets for identical assets or liabilities. This level includes equity securities and debt instruments listed on the Nairobi stock exchange.
- Level 2 – Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly as prices or indirectly as derived from prices.
- Level 3 – inputs for the assets or liabilities that are not based on observable market data (unobservable inputs). This level includes equity investments and debt instruments with significant unobservable components.

This hierarchy requires the use of observable market data when available. The Group considers relevant and observable market prices in its valuations where possible.

31 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Fair value of financial assets and liabilities (continued)

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy.

Fair value hierarchy

	Fair value measurement at end of the year using			Total Sh'000
	Level 1 Sh'000	Level 2 Sh'000	Level 3 Sh'000	
2011				
Quoted equities	91,152	-	-	91,152
2010				
Quoted equities	67,181	-	-	67,181

(c) Market risk

(i) Price risk

The Group is exposed to equity securities price risk as a result of its holdings in quoted equity investments, classified as held at fair value through profit or loss. Exposures to individual companies and to equity shares in aggregate are monitored in order to ensure compliance with the relevant regulatory limits for solvency purposes. Investments held are listed and traded on the Nairobi Stock Exchange.

The Group uses a policy of diversification to manage the price risk arising from its investments in equity securities. The board regularly discusses amongst other issues, investment return and concentration across the company.

Listed equity securities represent 100% (2010: 100%) of total equity investments.

The market values of the company's equity investments at the end of each reporting period are as follows:

	2011 Sh'000	2010 Sh'000
Equity investments	91,152	67,181

At 31 July 2011, if the market prices had increased/decreased by 10% with all other variables held constant, the profit for the year would have been Sh 9,115,200 (2010: Sh 6,718,100) higher/lower.

31 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

(c) Market risk (continued)

(ii) Foreign currency risk

The Group undertakes certain transactions denominated in foreign currencies. Therefore, exposures to exchange rate fluctuations arise. Exchange rate exposures are managed within approved policy parameters. Management has in place effective policies and controls to ensure that the net exposure is kept at an acceptable level.

The carrying amounts of the Group's foreign currency denominated monetary assets and liabilities at the statement of financial position date are as follows:

	2011 Sh'000	2010 Sh'000
Financial assets		
<i>Bank balances</i>		
USD 333,893 @90.97 (2010: 459,166 @80.23)	30,920	36,839
<i>Income note</i>		
USD- nil (2010: 596,320@80.23)	-	47,843
<i>Trade receivables</i>		
USD 813,752 @ 90.97 (2010: 439,787 @ 80.23)	73,936	35,284
	<u>104,856</u>	<u>119,966</u>

When reporting foreign currency risk internally to key management personnel, a sensitivity rate of 10% is used. This represents management's assessment of the possible change in foreign currency exchange rates. The sensitivity analysis covers only outstanding foreign currency denominated monetary items and adjusts their translation at the period end for a 10% change in foreign currency rates.

At 31 July 2011, if the Kenya Shilling had weakened /strengthened by 10% against the US Dollar with all other variables held constant, the profit for the year would have been Sh 10,485,600 (2010:Sh 11,996,600) higher/ lower, mainly as a result of additional exchange gains or losses on translation of US Dollar bank balances and trade receivables balances.

32 CAPITAL RISK MANAGEMENT

The Group manages its capital to ensure that it will be able to continue as a going concern while maximizing the return to stakeholders through the optimisation of the debt and equity balance.

The capital structure of the Group consists of issued capital as disclosed in note 22, as well as reserves and retained earnings.

At 31 July 2011, the Group had no borrowings at year end.

33 COUNTRY OF INCORPORATION

The company and its subsidiaries are incorporated and domiciled in Kenya under the Companies Act.

34 CURRENCY

These financial statements are presented in Kenya Shillings thousands (Sh'000).

I/We _____

of _____

being a Member(s) of CARBACID INVESTMENTS LIMITED hereby appoint _____

_____ of _____

or failing him _____

of _____

or failing him the Chairman of the Meeting as my/our Proxy to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held at Southern Sun Mayfair (Palm Room), Parklands Road, Nairobi on Thursday, 8th December 2011 at 10.00 a.m., and at any adjournment thereof.

Dated this _____ day of _____ 2011

Signature _____

Notes:

1. A member may appoint a proxy of his own choice. A proxy need not be a member of the Company.
2. If the appointor is a corporation, this form must be under its common seal or under the hand of some officer or attorney duly authorised in that behalf.
3. In the case of joint holders, the signature of any one holder will be sufficient but the names of the joint holders should be stated.
4. To be valid, this form must be completed and deposited at the Registered Office of the Company, 1st Floor, Empress Plaza, Ring Road Parklands, Westlands, P O Box 764, Nairobi. Sarit Centre, 00606, not less than twenty four hours before the time fixed for holding the meeting or adjourned meeting.

